Controlling

Que. What is controlling?

Ans. According to Ricky W. Griffin, "Controlling function leads to goal achievement, an organisation without effective control is not likely to reach its goal".

Controlling is ensuring that actions in an organisation are carried out as planned. Controlling also guarantees that an organization's resources are used effectively and efficiently to meet established goals.

Controlling is one of the management function, which involves setting standards, measuring actual performance and taking corrective action. Controlling involves comparison of actual performance with the planned performance.

Que. What are the natures of controlling?

Ans. **Nature of controlling are as follows:-**

1. Controlling is a goal oriented function:- Controlling is concerned with matching organizational activities with predetermined goals and objectives. The basic goal of control is to guarantee that the organization's actual performance matches or surpasses its planned performance.

2. Controlling is an all pervasive:- The method of monitoring and regulating actions or behaviors to ensure that they comply with specified criteria or goals is referred to as Controlling. Controlling is pervasive because it exists in practically every aspect of human life and organizational activity.

3. Controlling is both backward-looking as well as forward-looking:- Controlling is reviewing past performance and comparing it to desired criteria or goals. Organizations may determine if they have met their aims or whether there have been any deviations by reviewing historical data. Backward-looking controlling involves analyzing and evaluating previous actions, outputs, and results to find areas for improvement or where corrective action is required.

Controlling is also forward-thinking, with the objective of ensuring that activities and behaviours correspond with predefined standards and goals. Forward-thinking controlling involves developing goals, benchmarks, and procedures to track progress towards those goals.

4.Controlling is continuous function:- Controlling can be seen as a continuous process because it involves continuous monitoring, evaluation, and adjustment of activities to ensure that they remain in accordance with wanted standards or goals. It is an ongoing and continuous process, not a one-time event.

Que. What is the importance of controlling?

Ans. **The importance of controlling is as follows:-**

1. Helps in achieving organizational goals:- The controlling function evaluates progress toward organizational goals, identifies deviations, and recommends corrective action. It, therefore, directs and keeps the organization on track in order for organizational goals to be met.

2.Judging accuracy of standards:-A good control system allows management to confirm that the standards specified are accurate and objective. An effective control system keeps a close eye on changes in the organisation and the environment and helps in reviewing and revising standards in light of such changes.

3.Mak ing efficient use of resources:-A manager works to decrease resource waste and loss by putting control. Each task is carried out in accordance with predefined standards and norms. This guarantees that resources are utilised as effectively and efficiently as possible.

4.Improving employee motivation:-A good control system ensures that employees understand what they are expected to do and the performance standards that will be used to evaluate them. It thus inspires and helps them in providing greater performance.

5. Ensuring order and discipline:-Controlling creates an environment of order and discipline in the workplace. It helps in reducing dishonest behavior on the part of employees by keeping a careful eye on their activities.

6. Facilitating coordination inaction:-Controlling directs all actions and efforts toward reaching organizational goals. Each department and staff is managed by set criteria that are strongly coordinated. This guarantees that the overall organizational goals are met.

Que.Explain the Relationship between Planning and Controlling.

Ans. **Following are the relationship between planning and controlling:-**

1.Nature and concept:-Planning is the fundamental role of any enterprise since it determines what must be done, how it must be done, when it must be done, and by whom it must be done. Planning bridges the gap between where we are now and where we want to be.

Controlling involves ensuring that everything is going according to plan and, if there is a deviation, taking preventive measures to avoid it.

The definition of controlling indicates that the controlling function is carried out to ensure that planning is carried out correctly and on schedule.

2. Planning and controlling are interdependent and interlinked:-

Because one function is dependent on the other, the planning and controlling functions must constantly exist. The controlling function compares actual performance to planned performance, and if there is no planned performance, the controlling manager cannot determine whether the actual performance is acceptable. The controlling function provides the basis for comparison or the yardstick to check.

The controlling function is also dependent on the planning function because plans are not just made on paper but must be followed and implemented in the organization. The controlling role ensures that everyone completely follows the plan. Continuous monitoring and checking in the controlling role ensures that everyone follows the plan.

3.Controlling is both backward-looking as well as forward-looking:-Controlling involves analysing past performance and comparing it to desired criteria or goals. Organizations may determine if they have met their aims or whether there have been any deviations by reviewing historical data. Backward-looking controlling involves analyzing and evaluating previous actions, outputs, and results to find areas for improvement or where corrective action is required.

Controlling is also forward-thinking, with the objective of ensuring that activities and behaviours match with predefined standards and goals. Forward-thinking controlling involves developing goals, benchmarks, and procedures to track progress toward those goals. It comprises proactive steps to guide and manage ongoing activities in order to keep them on track to achieve the desired results.

4. Planning is prescriptive whereas controlling is evaluating:-

Planning is prescriptive in nature since it involves establishing goals, defining objectives, and determining how to achieve them. It is an active procedure that provides advice and direction by specifying what needs to be done, when it needs to be done, and how it should be done. Making decisions, placing resources, and developing ways to achieve desired objectives are all part of planning.

Controlling's evaluation part entails comparing actual performance or outcomes with predetermined standards or goals. This review helps in identifying any differences, deviations, or opportunities for improvement. Organizations can acquire insights into the success of their strategy and actions by reviewing performance.

Que.Explain the controlling process.

Ans. **Following are the process of controlling:-**

Step 1: Setting Performance Standards:- The setting up of performance standards is the first stage in the controlling process. Rulesshould be standards through which actual performance would be measured. As a result, standards serve as targets for an organization to work for.Standards can be established in both quantitative and qualitative ways.

Step 2: Measurement of actual performance:- After Performance standards have been set, then actual performance should be measured. Performance should be measured objectively and regularly. There are various methods for measuring performance. Personal observation, sample verification, performance reports, and so forth are examples of these. Performance should be measured in the same units that standards are specified in as much as practicable to facilitate comparability. It is widely assumed that measurement should take place after the task has been accomplished. However, whenever possible, work should be measured during the performance.

Step3:Comparing Actual Performance against Standards:- Standards Performance: This phase involves comparing actual performance to the standard. This type of comparison will show the difference between the actual and desired results.When standards are stated in quantitative terms, comparison becomes easy.

step4: Analysing Deviations:-In all activity, some variation in performance is to be expected. As a result, determining the acceptable range of deviations is important. In addition, variations in important parts of the business must be addressed more quickly than deviations in minor areas. A manager should employ critical point control and exception handling in this situation.

Two techniques for analyzing deviation:-

1. Critical Point Control:- It involves concentrating on a few key areas (KRAs), and if there is any deviation in these key areas, it must be corrected immediately. The key areas are those that have an impact on the entire organization.

2. Management by Exception:- Management by exception means a control concept based on the idea that trying to control everything leads to controlling nothing. As a result, only large deviations that exceed the allowable limit should be reported to management.

Step 5: Taking Corrective Action:- When deviations are within acceptable limits, no corrective action is required. However, when deviations exceed the allowed range, especially in critical areas, quick managerial attention is required to ensure that deviations do not occur again and standards are met.

Step6:Feedback in controlling:- The controlling function does not end when corrective action is taken. A feedback report is created once the suggested corrective actions are suggested.